

PROJECT SOUTHEAST ASIA

Reconstructed Sell-Side Review — AkzoNobel Southeast Asia Decorative Paints

Independent Student M&A Case Study | September 2026 | Updated 9 October 2026 for the announced sale

Independent student analysis/reconstruction based on publicly available information. Not affiliated with, commissioned by, or representative of Goldman Sachs or AkzoNobel.

TRANSACTION OVERVIEW

AkzoNobel reviewed a sale of its Southeast Asia decorative paints platform; Nippon Paint agreed to buy it

Seller	AkzoNobel N.V. (market cap ~USD 12.5bn; FY2025 group revenue ~USD 11.5bn)
Reported Adviser	Goldman Sachs
Assets Under Review	Decorative paints operations across Indonesia, Thailand, Malaysia, Vietnam (as reported, Sep-2026) UPDATE: announced perimeter is seven countries; adds Singapore, Papua New Guinea, Australia
Reported Revenue	EUR 300m (~USD 346m) annual, per ION Analytics UPDATE: reported FY25 revenue ~USD 291m, EBITDA ~USD 65m (several outlets, attributed to Nippon Paint)
Process Timing	CEO flagged review Apr-2026; non-binding offers reported due mid-Sep-2026 UPDATE: signed 3 Oct, announced 5 Oct 2026; Indonesia closes late 2026, rest mid-2027
Deal Structure	May be sold as one region-wide platform, or country-by-country to local players UPDATE: one package to a single buyer, with staged closings
Named Bidder	Siam Cement Group (SCG) reported in preliminary discussions UPDATE: buyer is Nippon Paint; EV ~USD 1.35bn (EUR 1.20bn), 21x FY25 EBITDA

SELLER OVERVIEW

AkzoNobel is a global paints and coatings leader executing a portfolio reshaping program

USD 11.5bn

FY2025 group revenue

EUR 4.09bn

FY2025 Decorative Paints segment
revenue

15.8%

FY2025 Decorative Paints adj. EBITDA
margin

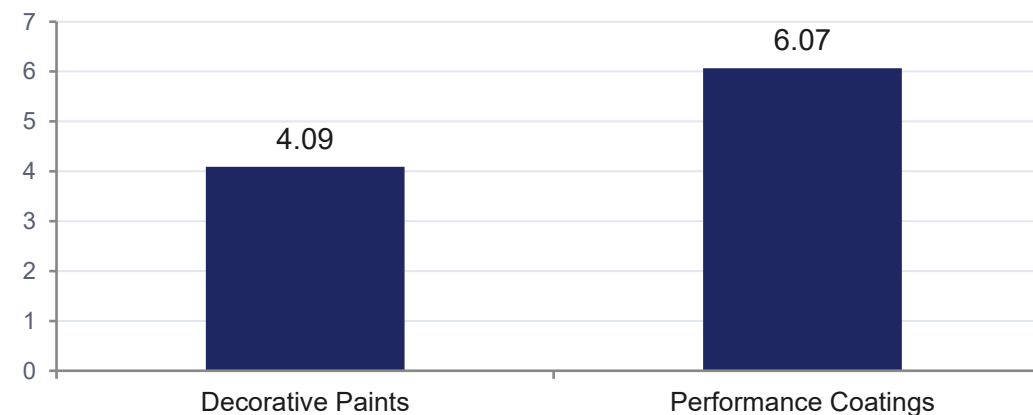
USD 12.5bn

Market capitalization

Recent portfolio actions

- Jun-Dec 2025: Sold 74.76% of AkzoNobel India to JSW Group for EUR1.4bn (25x EBITDA) — India liquid paints/coatings, incl. Dulux
- 2026: Rejected an unsolicited EUR7.5bn offer from Nippon Paint for the entire global Decorative Paints segment
- Apr 2026: CEO signaled review of Southeast Asia decorative paints businesses

Group revenue by segment, FY2025 (EUR bn)



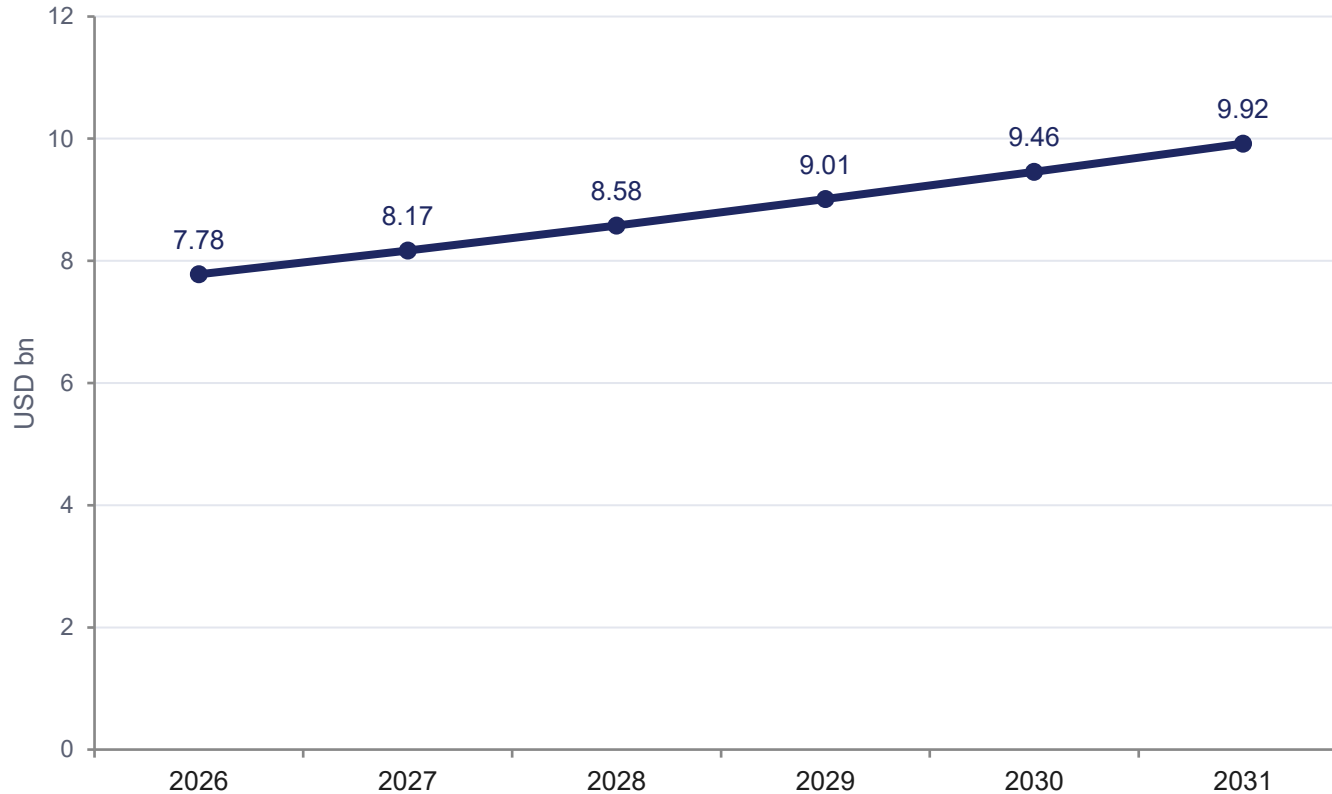
Four modelled markets have confirmed entities and sites; the announced perimeter spans seven

IN Indonesia PT ICI Paints Indonesia Tangerang (decorative) Est. 1971	TH Thailand Akzo Nobel Paints (Thailand) Ltd. Bangkok (decorative) Market entry 1963	MA Malaysia Akzo Nobel Paints (Malaysia) Sdn Bhd Site not confirmed this pass Formerly ICI Paints (Malaysia)	VI Vietnam Akzo Nobel Paints Vietnam Ltd. Ben Cat, Binh Duong (100m litre capacity) LEED Gold certified
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Perimeter note: each market also hosts separate AkzoNobel Performance Coatings (industrial/powder) sites judged, as an analyst inference, to sit OUTSIDE the reported decorative-paints perimeter — see 01_Source_Data/SEA_Asset_Perimeter.xlsx. **UPDATE (Oct 2026): the announced perimeter is decorative paints in seven countries, adding Singapore, Papua New Guinea and Australia; the Malaysia site is still to be verified.**

MARKET CONTEXT

The ASEAN paints and coatings market is projected to grow at a ~5% CAGR through 2031



Growth drivers

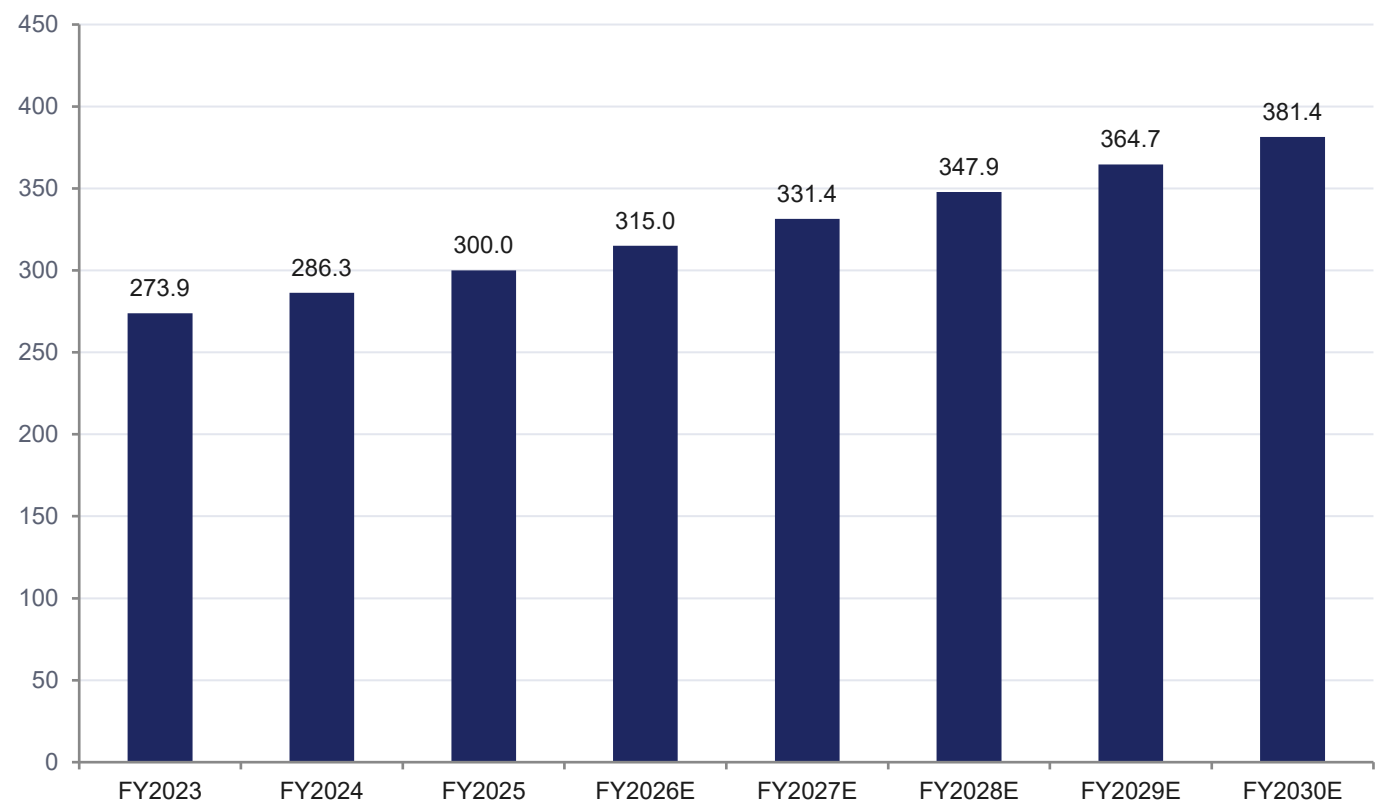
- Robust construction activity across Indonesia, Vietnam and Thailand
- Government-backed infrastructure programs
- Regional industrial investment (incl. EV-related manufacturing)
- Rising urbanization and middle-class housing demand across all four markets

Nippon Paint holds the deepest regional overlap; AkzoNobel competes across a fragmented field

Company	Confirmed SEA Decorative Position
Nippon Paint	#2 in Malaysia decorative (26yr history); ~50% JV share in Thailand decorative; Vietnam production; Indonesia technical alliance
Local leaders	Thailand: Toa leads decorative, ahead of Nippon Paint's ~50%-share JV
Asian Paints / Berger	Asian Paints exited Indonesia (divested); Berger manufactures in Malaysia/Singapore, serves Indonesia/Vietnam
Siam Cement Group	Paint sold as one category within its broader Smart Living building-materials retail channel across all 4 markets
Sherwin-Williams / PPG	No SEA decorative market-share data identified — limited confirmed regional decorative presence

Source: search aggregation of company/trade-press disclosures — see 06_Buyer_Analysis/Buyer_Fit_Matrix for full evidence citations.

Illustrative revenue build reaches EUR381m by FY2030E on a ~5% CAGR



Key metrics (FY2026E)

- Revenue
EUR 315mm
- EBITDA (16.5% margin)
EUR 52mm
- Unlevered FCF
EUR 21mm (net of one-time separation costs)

EVERY figure on this slide beyond the EUR300m FY2025 revenue anchor is an ILLUSTRATIVE ASSUMPTION — no SEA-specific EBITDA, margin or cash-flow data is publicly disclosed. See 02_Financial_Model/README.

A scaled, multi-country decorative platform in a structurally growing region

1

Regional platform

Established decorative operations across four ASEAN markets with distinct legal entities and confirmed manufacturing footprint

2

Structural growth

ASEAN paints market projected to grow from USD7.78bn (2026) to USD9.92bn (2031), a ~5.0% CAGR

3

Optionality

Reported seller openness to a whole-region sale or country-by-country carve-up to local players maximizing synergy fit

4

Established brand

Dulux brand equity across all four markets, alongside Eka and other AkzoNobel decorative lines

5

Scarcity value

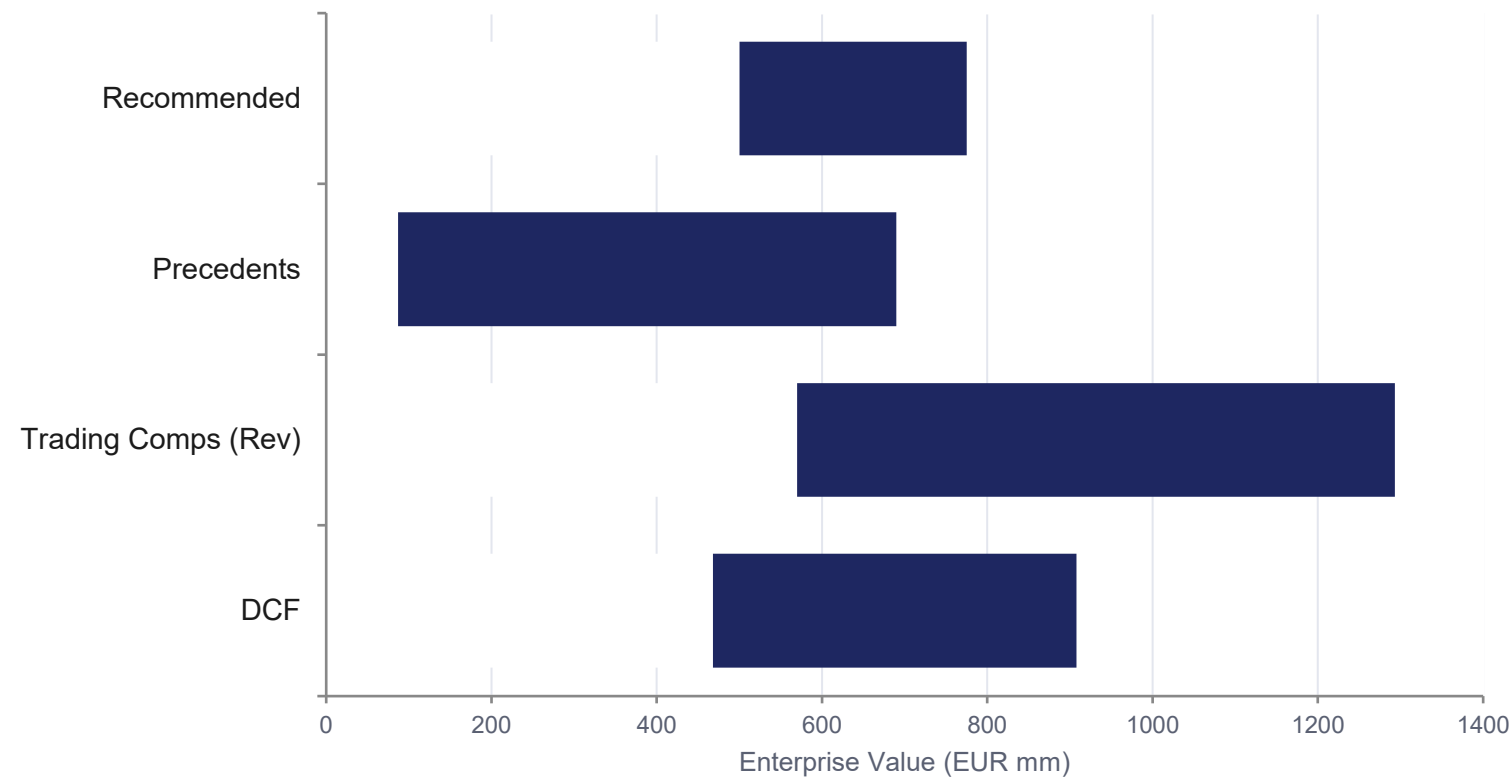
Few assets of this scale and multi-country reach become available in SEA decorative paints

6

Motivated buyer field

Multiple strategics (Nippon Paint, SCG, Asian Paints/Berger) have direct evidenced regional overlap or stated interest

Triangulated methodologies point to a recommended EUR500-775m Enterprise Value range



Recommended range

EUR500-775mm

Mid: EUR625mm | ~2.0x FY26E Revenue | ~12.0x FY26E EBITDA

Anchored on the DCF base case, cross-checked against the two most structurally comparable precedents (Sherwin-Williams/BASF Suvinil; Nippon Paint/AkzoNobel rejected global offer). Trading comps and JSW/PPG outliers treated as context, not primary drivers.

Six named strategics span pure-play coatings majors to a diversified regional conglomerate

JAPAN

Nippon Paint Holdings

Strongest evidenced SEA overlap

THAILAND

Siam Cement Group

Reported in preliminary discussions

INDIA

Asian Paints / Berger

Decorative pure-play, mixed regional footprint

USA

Sherwin-Williams

Largest balance sheet, limited SEA presence

USA

PPG Industries

Named in commentary; recent decorative divestiture

JAPAN

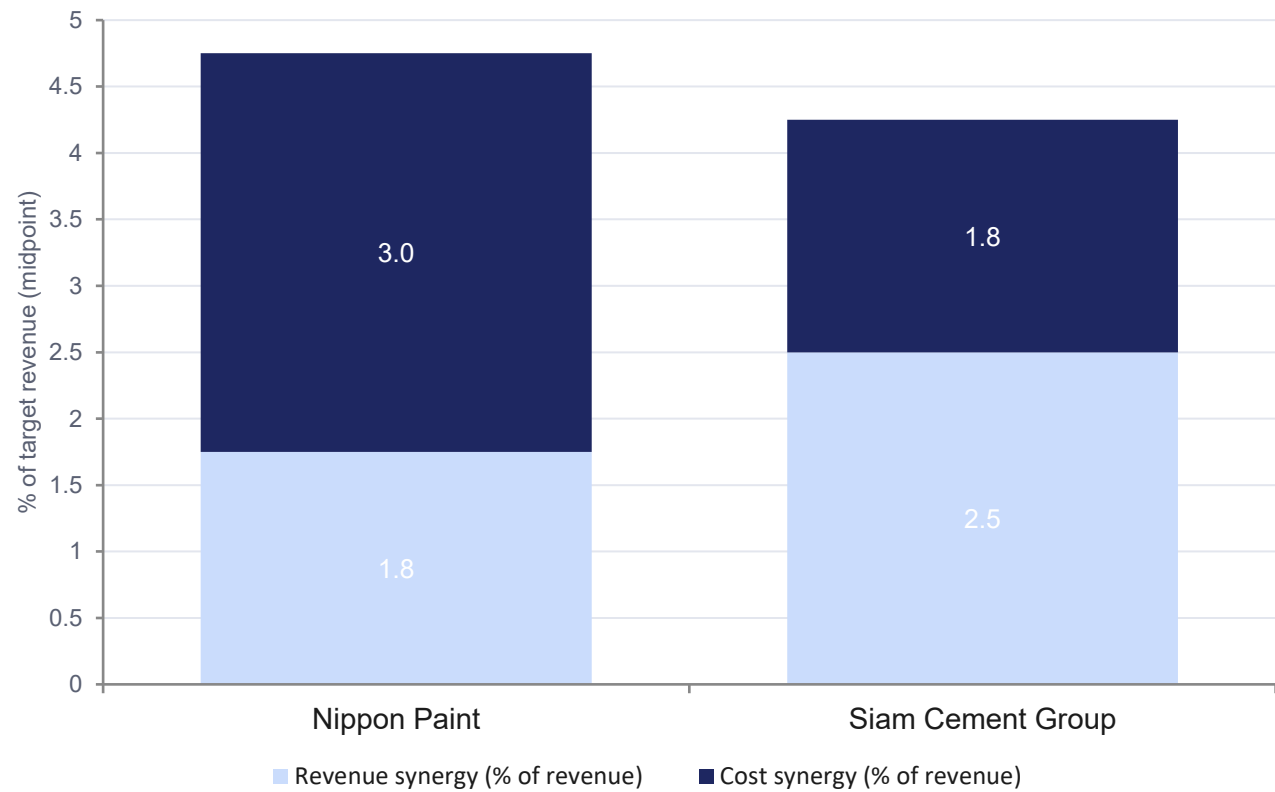
Kansai Paint

Regional presence, smallest balance sheet

Nippon Paint's deep overlap cuts both ways: highest synergy potential, highest regulatory risk

Buyer	Geographic Fit	Regulatory Risk	Financial Capacity
Nippon Paint	Strongest — all 4 markets	Highest — #2 Malaysia, ~50% Thailand JV share	Ample (EV ~USD21.4bn)
Siam Cement Group	Strong — full ASEAN retail network	Lower — paint not separately disclosed	Very large (~USD14.9bn revenue)
Sherwin-Williams	Weak — limited evidenced SEA share	Low — minimal existing overlap	Largest balance sheet (EV ~USD91.7bn)
Asian Paints/Berger	Mixed — Asian Paints exited Indonesia	Low — limited confirmed overlap	Strong (Asian Paints EV ~EUR24bn eq.)
PPG Industries	Unclear — no SEA-specific data found	Unclear	Ample (mkt cap ~USD24.5bn)

Illustrative synergy potential is highest for buyers with existing regional manufacturing scale



Methodology

- No buyer- or deal-specific synergy figure is publicly disclosed for this transaction
- Ranges sized using standard percentage-of-revenue M&A synergy heuristics, applied to each buyer's evidenced regional overlap
- Nippon Paint: highest cost synergy potential (manufacturing/distribution overlap in Malaysia, Thailand)
- SCG: revenue synergy from cross-sell through its existing building-materials retail channel

Two viable structures reflect the seller's reported openness to a whole-region or split sale

Option A: Single Regional Sale

- One buyer acquires all four country platforms as a combined SEA decorative business
- Simpler execution — single SPA, single diligence process, single close
- Best suited to a buyer with existing pan-regional infrastructure (e.g., Nippon Paint)
- Maximizes control premium if a strategic values the full platform

Option B: Country-by-Country Sale

- Each country sold separately to the local/regional buyer offering the greatest synergies there
- Explicitly contemplated in the ION Analytics reporting
- Allows SCG (Thailand-centric) and other buyers to bid only where they have the strongest fit
- More complex execution — multiple SPAs, parallel processes, potential timing mismatch across closes

Update (Oct 2026): the announced deal sits between the options: one buyer, seven countries, staged closings (Indonesia first).

Reported timeline pointed to non-binding offers in mid-September; binding agreements followed on 3 October



Update (9 Oct 2026): AkzoNobel announced binding agreements on 5 Oct 2026 for a seven-country sale to Nippon Paint; closings are subject to regulatory approvals. Steps 1-4 are the September reporting (ION Analytics).

KEY RISKS

Data scarcity, regulatory overlap and multi-country execution are the principal risk factors



Financial data scarcity

No SEA-specific EBITDA, margin, working capital or balance-sheet data is publicly disclosed — every valuation output rests on illustrative assumptions



Regulatory / antitrust

A sale to a buyer with deep existing overlap (e.g., Nippon Paint in Malaysia/Thailand) could face material merger-control scrutiny



Perimeter uncertainty

Whether Performance Coatings assets, shared services, or specific brands transfer with the decorative business is not confirmed



Multi-country complexity

A country-by-country sale structure multiplies regulatory approvals, SPAs, and closing-condition risk across four jurisdictions



Carve-out execution

TSA dependency, stranded costs and standalone systems build-out carry real integration risk not sized by any public disclosure



Valuation dispersion

DCF, trading comps and precedent transactions do not converge — a genuine finding that widens the defensible pricing range

VALUATION SENSITIVITY

DCF Enterprise Value ranges EUR468-908mm across a plausible WACC / terminal-growth band

WACC \ Terminal Growth	2.0%	2.5%	3.0%	3.5%	4.0%
7.88%	635	684	744	816	908
8.38%	583	624	672	731	802
8.88%	539	573	613	661	718
9.38%	501	530	564	603	649
9.88%	468	493	521	554	593

Enterprise Value, EUR mm. Base case (WACC 8.88%, terminal growth 3.0%) highlighted.

A staged, dual-track process balances platform value against structural flexibility

1

Broad outreach

Approach global strategics (Nippon Paint, Sherwin-Williams, PPG, Kansai Paint) and regional players (SCG, Asian Paints/Berger) in parallel

2

Dual-track structuring

Solicit both whole-region bids and country-specific bids to preserve the seller's stated optionality

3

Management presentations

Provide carve-out financials and perimeter clarity to shortlisted bidders — the single largest information gap identified in this project

4

Final bids and selection

Compare whole-region vs. split-sale proceeds net of execution complexity and closing-condition risk

Recommendation: prioritize Sherwin-Williams/Suvinil-style structural comparables and Nippon Paint's evidenced regional scale as primary go-to bidders, while running SCG and Asian Paints/Berger as credible alternates.

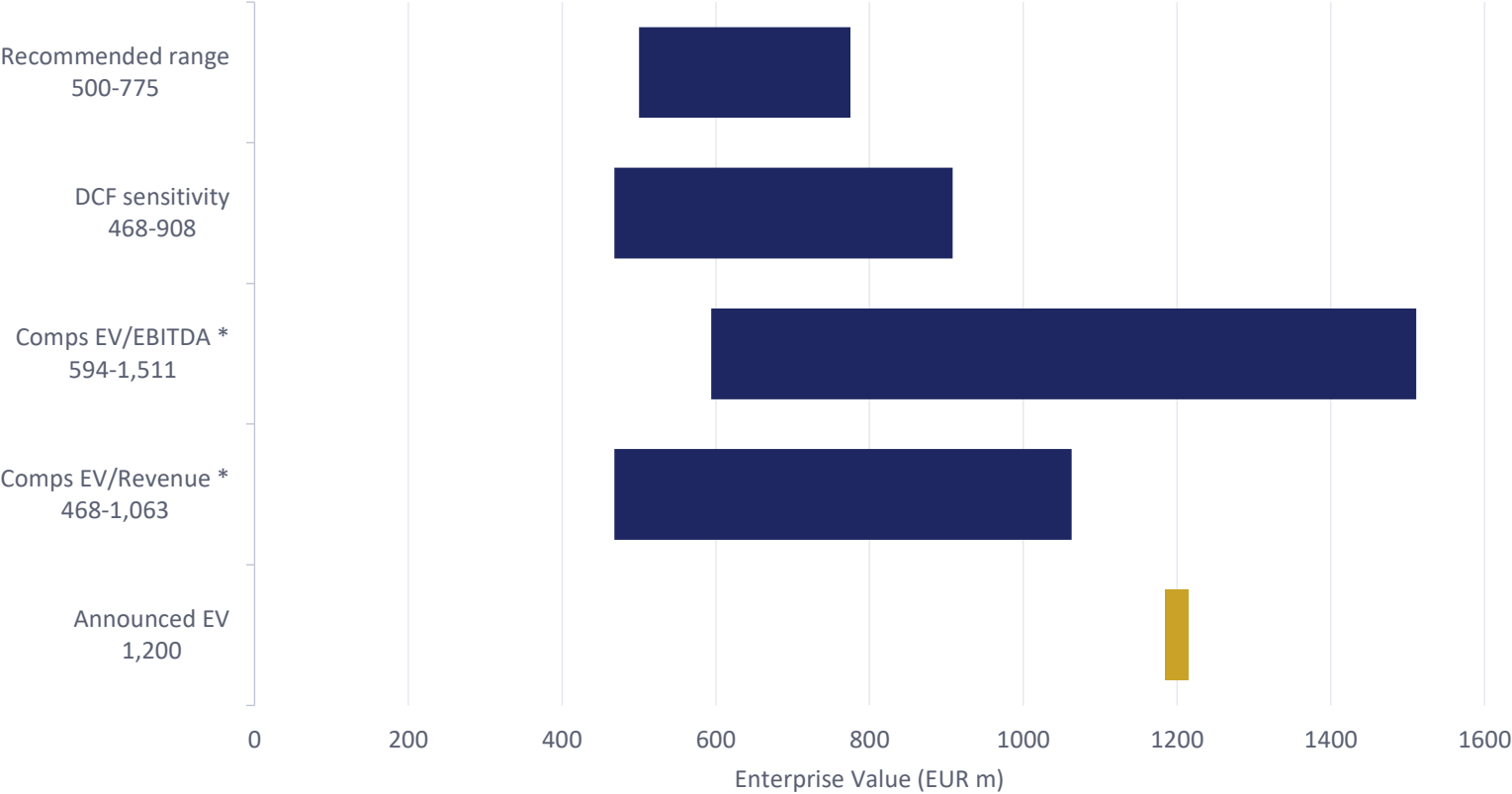
The announced deal was wider and richer than the September case study assumed

Item	Case study (September 2026)	Announced / reported (October 2026)
Perimeter	Four countries (Indonesia, Thailand, Malaysia, Vietnam); decorative only (analyst inference)	Seven countries, adding Singapore, Papua New Guinea, Australia; decorative only; AkzoNobel keeps Coatings and Global Business Services
FY2025 revenue	EUR 300m anchor (ION Analytics)	About EUR 259m (USD 291m), seven countries *
FY2025 EBITDA	EUR 47.4m (15.8% group Decorative Paints margin used as proxy)	About EUR 58m (USD 65m), 22% margin *
Enterprise value	EUR 500-775m recommended (DCF base EUR 613m)	EUR 1.20bn (USD 1.35bn)
Multiple	Mid-point implies ~10.8x FY25 EBITDA and ~2.4x revenue on the reported figures	21x FY25 EBITDA (about 16x 2026E per Nippon Paint *); ~4.6x FY25 revenue
Buyer	Nippon Paint: strongest fit and highest regulatory risk; SCG in preliminary talks	Nippon Paint; regulatory approvals are closing conditions; SCG not mentioned
Timeline	Non-binding offers mid-Sep 2026; nothing known after	Signed 3 Oct, announced 5 Oct 2026; Indonesia closes late 2026, rest mid-2027

* Reported by several outlets, attributed to Nippon Paint; primary Nippon Paint release not read; not in AkzoNobel's release. EUR at the release-implied USD 1.125 per EUR. The September model and valuation have not been re-run on the announced deal.

VALUATION BACK-TEST

The announced price is 55% above the recommended range; EBITDA comps were the method that bracketed it



Announced enterprise value

EUR 1.20bn

21x FY25 EBITDA | USD 1.35bn

1.55x the top of the recommended range and about 1.9x its mid-point (EUR 625m).

The EV/EBITDA comps range (10.3x-26.2x) brackets the deal's 20.8x. The DCF range and the revenue-based comps do not.

The back-test applies September multiples to reported FY25 figures (attributed to Nippon Paint; primary release not read); the price includes buyer synergies that comps do not capture.